

Nebius Group N.V.

2Q26 Preview: focus is on capacity, capex, and margin trajectory

Reiterate Rating: BUY | PO: 280.00 USD | Price: 177.71 USD

Demand intact as the capacity ramp accelerates

Nebius is expected to report 2Q26 results in early August. Demand visibility remains strong, supported by the recent \$1bn Reflection AI deal, while reported plans by Meta to sell excess compute have created competitive concerns. Into the print, we are focused on three key areas: (1) continued capacity activation and data center execution, (2) capex requirements associated with the company's infrastructure build, and (3) EBITDA margin trajectory. We reiterate our Buy rating and \$280 PO and update our estimates to reflect a more pronounced data center capacity ramp in 2H26 vs 1H26.

Capacity activation remains the leading indicator

Nebius started the year with 220MW of connected power and has guided to exit 2026 with 800MW-1GW of connected power along with 4GW+ of contracted power. The pace at which this capacity becomes operational will ultimately determine how quickly contracted demand is converted into revenue. We expect connected power activation to be largely 2H26-weighted, particularly 4Q26, underpinning our updated revenue estimates, now at 435%, 516%, and 550% YoY, vs. 458%, 550%, and 518% YoY before for 2Q, 3Q, and 4Q, respectively. In our view, any buildout delays represent a shift in timing of revenue recognition rather than a change in underlying demand, but could pressure near-term revenue and margins.

Capex trajectory and margin inflection key focus areas

Nebius recently introduced a more asset-light business model, expanding beyond wholly owned data centers and enabling higher-margin software and services revenue to be layered onto partner-operated facilities. This could support faster capacity expansion while reducing capital intensity. Despite this move, we expect significant investments to continue, modeling FY26 capex of \$23bn, with a focus being on the impact of rising component and infrastructure costs. On profitability, we expect EBITDA margins to decline QoQ from 32.5% in 1Q to 29.9% in 2Q on initial expansion and data center activation costs, with recovery in 2H to 42.1% in 3Q and 45.7% in 4Q on ramping capacity. Lastly, concerns around increasing competition, primarily by SpaceX and Meta, have pressured shares throughout the quarter, but we do not view the compute market as structurally competitive, as demand for AI compute far exceeds supply and access to capacity, rather than provider selection, is the primary gating factor.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	(0.29)	(1.87)	(2.72)	(2.97)	(1.08)
EPS Change (YoY)	NA	-544.8%	-45.5%	-9.2%	63.6%
Consensus EPS (Bloomberg)			(2.44)	(2.28)	(0.89)
Valuation (Dec)					
EV / EBITDA*	NM	NM	43.9x	9.9x	4.9x
Free Cash Flow Yield*	-1.5%	-9.4%	-33.7%	-32.9%	-33.7%

* For full definitions of *IQmethod*SM measures, see page 5.

20 July 2026

Equity

Key Changes

(US\$)	Previous	Current
2026E Rev (m)	3,342.0	3,342.5
2027E Rev (m)	10,111.7	10,978.8
2028E Rev (m)	16,807.8	20,350.1
2026E EPS	-1.79	-2.72
2027E EPS	-0.79	-2.97
2028E EPS	-0.19	-1.08

Tal Liani

Research Analyst

BofAS

+1 646 855 5107

tal.liani@bofa.com

Kevin Niederpruem

Research Analyst

BofAS

+1 646 855-1540

kevin.niederpruem@bofa.com

Eden Vacnich

Research Analyst

BofAS

+1 646 855 1971

eden.vacnich@bofa.com

Stock Data

Price	177.71 USD
Price Objective	280.00 USD
Date Established	8-Jun-2026
Investment Opinion	C-1-9
52-Week Range	49.00 USD - 299.86 USD
Mrkt Val (mn) / Shares Out (mn)	39,168 USD / 220.4
Free Float	94.8%
Average Daily Value (mn)	3147.21 USD
BofA Ticker / Exchange	NBIS / NAS
Bloomberg / Reuters	NBIS US / NBIS.OQ
ROE (2026E)	-12.7%
Net Dbt to Eqty (Dec-2025A)	9.7%

Glossary:

- GW = gigawatt
- MW = megawatt

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Timestamp: 20 July 2026 01:00AM EDT

iQprofileSM Nebius Group N.V.

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	NA	-6.3%	-2.1%	0.3%	2.0%
Return on Equity	-1.1%	-11.7%	-12.7%	-9.2%	-2.5%
Operating Margin	-386.9%	-99.4%	-17.7%	0.1%	6.7%
Free Cash Flow	(574)	(3,695)	(13,205)	(12,904)	(13,195)

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	NM	NM	NM	NM	NM
Asset Replacement Ratio	10.7x	10.2x	12.2x	4.4x	2.6x
Tax Rate	NM	0%	NM	NM	NM
Net Debt-to-Equity Ratio	-74.7%	9.7%	139.8%	215.6%	239.6%
Interest Cover	NA	-9.1x	-1.9x	0x	0.9x

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	93	530	3,342	10,979	20,350
% Change	NA	468.5%	530.9%	228.5%	85.4%
Gross Profit	46	359	2,424	8,015	14,968
% Change	NA	684.5%	574.7%	230.6%	86.8%
EBITDA	(239)	(78)	1,354	5,992	12,068
% Change	NA	67.3%	NM	342.7%	101.4%
Net Interest & Other Income	109	65	(300)	(992)	(1,712)
Net Income (Adjusted)	(17)	(459)	(845)	(934)	(344)
% Change	NA	NM	-84.0%	-10.6%	63.2%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	(255)	(461)	(938)	(1,034)	(344)
Depreciation & Amortization	75	397	1,880	5,866	10,537
Change in Working Capital	443	346	6,249	4,080	(400)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(29)	89	2,565	4,035	4,808
Capital Expenditure	(808)	(4,066)	(22,962)	(25,851)	(27,797)
Free Cash Flow	-574	-3,695	-13,205	-12,904	-13,195
% Change	NA	-543.9%	-257.4%	2.3%	-2.3%
Share / Issue Repurchase	(10)	4,171	13,339	13,000	12,000
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	667	1,136	1,912	0	0

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	2,435	3,678	5,264	5,360	4,165
Trade Receivables	11	720	3,245	7,524	12,771
Other Current Assets	87	313	580	2,436	4,188
Property, Plant & Equipment	847	5,573	25,928	45,836	62,974
Other Non-Current Assets	169	2,166	3,538	5,979	9,082
Total Assets	3,549	12,450	38,556	67,135	93,180
Short-Term Debt	6	25	18	18	18
Other Current Liabilities	258	1,503	4,259	9,045	15,074
Long-Term Debt	0	4,103	17,432	30,432	42,432
Other Non-Current Liabilities	31	2,206	8,133	16,002	19,675
Total Liabilities	295	7,837	29,842	55,497	77,199
Total Equity	3,254	4,613	8,714	11,637	15,981
Total Equity & Liabilities	3,549	12,450	38,556	67,135	93,180

* For full definitions of iQmethodSM measures, see page 5.

Company Sector

Server & Enterprise Software

Company Description

Nebius is an Amsterdam-based AI cloud company that provides unified, large-scale infrastructure for the full AI lifecycle, including data processing, model training, and production deployment. Originating from the international restructuring of Yandex, it now operates globally with advanced GPU data centers and complementary businesses such as Avride, TripleTen, and Toloka AI.

Investment Rationale

Our Buy rating is based on rapidly expanding, AI-optimized cloud infrastructure and strong global data center pipeline, positioning it to benefit from demand for large-scale AI compute. Management's track record of execution and the company's unified, end-to-end platform creates durable competitive advantages that support continued growth.

Stock Data

Average Daily Volume 17,709,788

Quarterly Earnings Estimates

	2025	2026
Q1	-0.41A	-0.32A
Q2	-0.38A	-0.62E
Q3	-0.40A	-0.82E
Q4	-0.68A	-0.95E

Exhibit 1: Our 1Q estimates are largely in line with Street estimates

BofA estimates vs Street estimates

\$mn	2Q26E			3Q26E			FY26E		
	BofA	Consensus	% Diff	BofA	Consensus	% Diff	BofA	Consensus	% Diff
Capital Expenditures	(4,782.0)	(4,813.1)	-0.6%	(6,526.0)	(7,671.5)	-14.9%	(22,961.5)	(22,978.2)	-0.1%
YoY (%)	807.0%	842.6%		583.0%	702.9%		464.7%	465.1%	
Revenue	562.6	559.6	0.5%	900.1	862.5	4.4%	3,342.5	3,361.1	-0.6%
YoY (%)	435.3%	432.4%		516.1%	490.4%		530.9%	534.4%	
Operating Income	(159.7)	(160.9)	-0.7%	(205.8)	(233.3)	-11.8%	(591.7)	(1,066.4)	-44.5%
Operating Margin	-28.4%	-31.9%		-22.9%	-27.4%		-17.7%	-31.7%	
EBITDA	168.3	161.6	4.1%	379.2	346.4	9.5%	1,353.6	1,388.7	-2.5%
EBITDA Margin	29.9%	28.9%		42.1%	40.2%		40.5%	41.3%	
Free Cash Flow	(2,914.2)	(3,071.6)	-5.1%	(3,680.6)	(5,791.5)	-36.4%	(13,204.9)	(16,035.7)	-17.7%
FCF Margin	-518.0%	-548.9%		-408.9%	-671.4%		-395.1%	-477.1%	

Source: BofA Global Research estimates, Bloomberg, company report

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Exhibit 2: We fine-tune our estimates to reflect a more pronounced data center capacity ramp in 2H26 vs 1H26

Summary of Model Changes

	Sales			Gross Margin			Operating Margin			EPS			Capital Expenditures		
	Old	New	Delta	Old	New	Delta	Old	New	Delta	Old	New	Delta	Old	New	Delta
FY26															
1Q26	\$399.0	\$399.0	\$0.0	74.1%	74.1%	0 bps	-23.2%	-23.2%	0 bps	-\$0.32	-\$0.32	\$0.00	-\$2,472.90	-\$2,472.90	\$0.00
2Q26	\$586.5	\$562.6	-\$23.9	71.0%	71.0%	0 bps	-28.4%	-28.4%	-3 bps	-\$0.51	-\$0.62	-\$0.12	-\$4,809.55	-\$4,782.02	\$27.53
3Q26	\$950.2	\$900.1	-\$50.0	72.0%	72.0%	0 bps	-22.9%	-22.9%	3 bps	-\$0.63	-\$0.82	-\$0.19	-\$6,651.25	-\$6,526.04	\$125.21
4Q26	\$1,406.3	\$1,480.7	\$74.5	73.0%	73.0%	0 bps	-9.6%	-9.0%	60 bps	-\$0.33	-\$0.95	-\$0.62	-\$8,437.59	-\$9,180.57	-\$742.98
Total	\$3,342.0	\$3,342.5	\$0.5	72.5%	72.5%	0 bps	-18.3%	-17.7%	60 bps	-\$1.79	-\$2.72	-\$0.93	-\$22,371.28	-\$22,961.53	-\$590.25
FY27															
1Q27	\$2,025.0	\$2,073.0	\$48.0	73.0%	73.0%	0 bps	-5.8%	-5.8%	3 bps	-\$0.35	-\$0.75	-\$0.40	-\$4,860.05	-\$6,322.75	-\$1,462.70
2Q27	\$2,328.8	\$2,487.6	\$158.9	73.0%	73.0%	0 bps	-2.7%	-2.5%	18 bps	-\$0.32	-\$0.94	-\$0.62	-\$5,589.06	-\$6,094.71	-\$505.66
3Q27	\$2,678.1	\$2,985.2	\$307.1	73.0%	73.0%	0 bps	1.2%	1.3%	6 bps	-\$0.23	-\$0.83	-\$0.60	-\$5,891.80	-\$6,567.36	-\$675.57
4Q27	\$3,079.8	\$3,432.9	\$353.1	73.0%	73.0%	0 bps	4.3%	4.4%	6 bps	\$0.11	-\$0.46	-\$0.56	-\$6,775.57	-\$6,865.88	-\$90.31
Total	\$10,111.7	\$10,978.8	\$867.1	73.0%	73.0%	0 bps	-0.1%	0.1%	20 bps	-\$0.79	-\$2.97	-\$2.18	-\$23,116.47	-\$25,850.70	-\$2,734.23
FY28															
1Q28	\$3,572.6	\$4,325.5	\$752.9	73.0%	73.0%	0 bps	4.9%	5.0%	1 bps	-\$0.15	-\$0.67	-\$0.53	-\$6,252.00	-\$7,137.08	-\$885.08
2Q28	\$3,947.7	\$4,779.7	\$832.0	73.0%	73.0%	0 bps	4.7%	6.5%	179 bps	-\$0.12	-\$0.37	-\$0.25	-\$5,921.54	-\$6,691.56	-\$770.02
3Q28	\$4,401.7	\$5,329.3	\$927.7	74.0%	74.0%	0 bps	5.4%	7.2%	179 bps	\$0.04	-\$0.14	-\$0.18	-\$6,602.51	-\$7,461.08	-\$858.57
4Q28	\$4,885.9	\$5,915.6	\$1,029.7	74.0%	74.0%	0 bps	4.8%	7.8%	301 bps	\$0.03	\$0.10	\$0.07	-\$5,618.74	-\$6,507.13	-\$888.39
Total	\$16,807.8	\$20,350.1	\$3,542.3	73.6%	73.6%	0 bps	5.0%	6.7%	177 bps	-\$0.19	-\$1.08	-\$0.89	-\$24,394.79	-\$27,796.86	-\$3,402.06

Source: BofA Global Research estimates, company report

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Price objective basis & risk

Nebius Group N.V. (NBIS)

Our PO of \$280 is based on 8.5x our CY27E EV/Sales, at the high end of the cloud data center peer group at 5-8x, related to strong revenue growth.

Downside risks to our price objective are increased competitive pressure in AI cloud infrastructure, lack of return on heavy capex investments, supply chain tightening of critical materials, and execution in global expansion.

Upside risks to our price objective are better-than-expected margins associated with economies of scale, accelerated demand for AI infrastructure, increasing enterprise adoption of AI, and growth in non-core businesses.

Analyst Certification

I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CIEN	CIEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	Intuit	INTU	INTU US	Tal Liani
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Monday.com	MNDY	MNDY US	Matt Bullock
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Salesforce Inc	CRM	CRM US	Tal Liani
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and valuations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

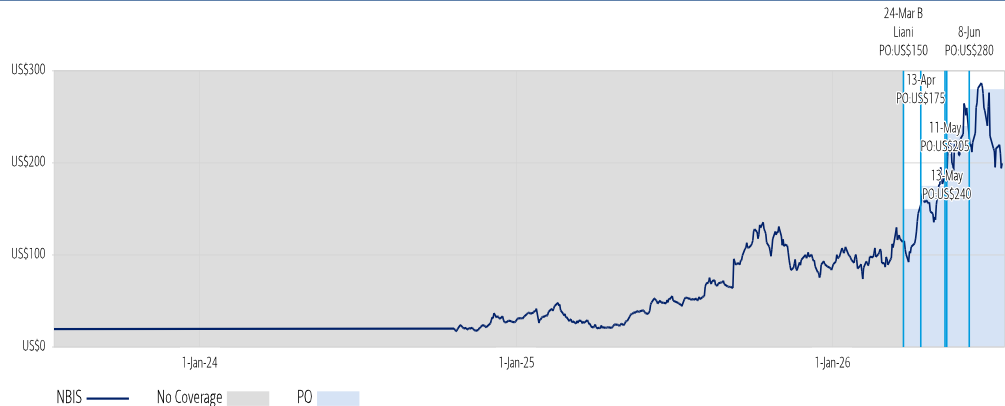
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Disclosures

Important Disclosures

Nebius Group (NBIS) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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